The first significant name in true cryptographic digital currency came with DigiCash which was founded far before all others in 1990 but declared bankruptcy in 1998 and was sold off to Ecash. David Chaum's Ecash was also an anonymous e-cash system secured by RSA signatures. By 2002 the company running the system failed again and was sold off to another company disappearing from public existence.

The only other digital currencies that found footing in the international market existed in virtual economies or synthetic economies. These economies emerged out of a continuously ongoing virtual world where the exchange of goods took place within the context of a networked game. These massively multiplayer online role playing games (MMORPGs) created virtual worlds that connected millions of people who were the foundation of the economy. Players could use the currency of the virtual economies in these games to purchase virtual goods for use in the game. As time and engagement took over, players were able to leverage the virtual products against real world value and make real economic gains.

Life simulation games like Second Life also created virtual economies that made it easier to link virtual and real economic transactions using in-game currency convertibility. The Linden Dollars from Second Life are used to pay for assets created in the game as reward of intellectual property via in-world content creation and trade. This currency was able to trade for real world goods and currency via third party sites. Conversely, other online games like World of Warcraft, Warhammer and Final Fantasy XI became controversial settings where real money was used to make in-game purchases between players. Game companies attempted to dissuade this by reinforcing in-game currency to be convertible.

All these centralised and loosely based virtual currencies remained highly marginalised by their natural drawbacks until a cryptographic decentralised digital currency system was created - this was Bitcoin. The conceptual idea behind Bitcoin was introduced by a mysterious figure using the pseudonym Satoshi Nakamoto in a paper - Bitcoin: A Peer-to-Peer Electronic Cash System - in November 2008. The paper outlined the logic method of attaining an electronic transaction protocol that could eliminate issues of trust. The first active Bitcoin network went live in January 2009 and was accessed using the first version of the open source Bitcoin client.

The first block of 50 BTC was mined by Satoshi Nakamoto. Over a period of months various vulnerabilities were discovered and patched resulting